DEPARTMENT OF COMPUTER SCIENCE & ENGINEERING
UNIVERSITY COLLEGE OF ENGINEERING (A)
Osmania University, Hyderabad-07

CLASS TEST-II

Managerial Economics & Accountancy

Class: B.E. (CSE)
SEMESTER: IV
Academic Year: 2024-25

Max Marks: 30
Duration: 1 ½ Hour
Date: 27th June, 2025.

	PART A Answer All Questions (5 x 2 = 10M)	Marks	BT	CO
1. a)	Define production function.	2	1	3
b)	Give out the formula of Average product and marginal product.	2	1	3
c)	What is an iso-cost Curve?	2	2	3
d)	What do you mean by margin of safety?	2	2	4
e)	Differentiate between Gross working capital and Net working capital.	2	2	4
	PART B **Answer Any Two Questions (2 x 10 = 20M)**			
2.	Examine the production function of three stages.	10	3	3
3.	Calculate Payback Period and NPV for the following Proposal Initial Investment (Rs.)1,00,000, , Life of Investment- 5 years YEAR / Proposal 1 / 40,000 2 / 30,000 3 / 30,000 4 / 40,000 5 / 35,000 Note: PV at 10% are 0.909, 0.826,0.751, 0.683, 0.621 Above cash- inflows after depreciation and after taxes.	10	3	4
4.	Calculate BEP and Margin of safety from the following details Sales: Rs.3,00,000, Fixed expenses: Rs.75,000, Variable expenses:Rs.2,00,000	10	3	3